

Problem Statement

Current State:

Our lack of a loyalty program is causing us to lose repeat customers to competitors who offer such incentives. Customers cannot earn or redeem points across channels, and store staff lack visibility into customer loyalty status, resulting in missed opportunities for personalized engagement.

Impact & Affected Stakeholders:

- Retail customers (online and in-store)
- Store staff
- Marketing and customer engagement teams

Why Now:

High – Competitors already offer loyalty programs, and we are experiencing measurable churn among repeat customers.

Quantitative Scope:

Repeat customer rate has declined by 12% YoY; estimated revenue loss of \$1.2M annually due to lack of loyalty incentives.

Proposed Solution

Approach:

Implement a unified loyalty program that tracks customer purchases and points across both online and in-store channels, with a central database accessible by all systems. Customers earn points per dollar spent and can redeem points for discounts or early access to sales. Store staff can identify loyal customers via POS or app integration.

Key Decisions:

- Centralized loyalty database for real-time synchronization
- App-based and POS-based customer identification
- Points accrual and redemption rules standardized across channels
- Incentivize app downloads by offering bonus points for app sign-up

Trade-offs:

- Requires significant integration effort between legacy in-store and online systems
- Potential for increased support load during rollout
- Initial program complexity may delay time-to-market

Target Users & Personas

Loyal Shopper Lisa _(Frequent customer)_

Goals:

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- Earn rewards for regular purchases
- Easily track and redeem points
- Receive special offers and early access

Pain Points:

- No recognition for loyalty
- Confusing or fragmented rewards experience
- Missed opportunities for savings

Behavior Patterns:

- Shops both online and in-store
- Uses mobile app for browsing and purchases
- Responds to personalized offers

Store Associate Alex _(Store staff)_

Goals:

- Recognize and reward loyal customers
- Upsell and provide personalized service
- Reduce checkout friction

Pain Points:

- No visibility into customer loyalty status
- Manual processes for discounts
- Difficulty in cross-channel customer identification

Behavior Patterns:

- Uses POS system for transactions
- Interacts with customers daily
- Relies on system prompts for customer info

Occasional Buyer Ben _(Infrequent customer)_

Goals:

- Get value from purchases
- Understand benefits of joining loyalty program

Pain Points:

- Unaware of loyalty program
- Does not see immediate benefit

Behavior Patterns:

- Shops during sales

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- Prefers simple sign-up processes

User Stories & Use Cases

US1 — Priority: High

As a **Customer**, earn points for every purchase, online or in-store, so I feel rewarded for my loyalty

US2 — Priority: High

As a **Customer**, redeem points for discounts during checkout, so I can save money on future purchases

US3 — Priority: High

As a **Store Associate**, see a customer's loyalty status when they check out, so I can provide personalized service

US4 — Priority: High

As a **Customer**, sign up for the loyalty program via the app, so I can start earning points immediately

US5 — Priority: Medium

As a **Customer**, link my in-store and online accounts, so my points are consolidated

US6 — Priority: Medium

As a **Customer**, receive bonus points for downloading the app, so I have an incentive to use the app

US7 — Priority: Medium

As a **Customer**, be notified if a purchase does not earn points due to a system error, so I can resolve the issue

US8 — Priority: Low

As a **Store Associate**, manually adjust points in case of a system failure, so customers are not penalized for technical issues

US9 — Priority: High

As a **Customer**, see my points balance update in real time after a purchase, so I know my rewards are accurate

US10 — Priority: High

As a **Customer**, be prevented from redeeming more points than I have, so I avoid confusion or errors

Functional Requirements

Must Have:

- **FR1:** Customers can earn points for every purchase, both online and in-store, at a standardized rate (e.g., 1 point per \$1 spent).
- **FR2:** Customers can redeem points for discounts at checkout, both online and in-store, with clear rules (e.g., 100 points = \$5 discount).
- **FR3:** Store staff can view a customer's loyalty status and points balance at POS during checkout.
- **FR4:** Customers can sign up for the loyalty program via the mobile app, website, or in-store.
- **FR5:** Points balances are updated in real time and visible to customers in the app and online account.
- **FR6:** System prevents redemption of more points than the customer has available.
- **FR7:** Customers receive notifications for successful point accrual and redemption.

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Should Have:

- **FR8:** Customers can link existing in-store and online accounts to consolidate points.
- **FR9:** Customers receive bonus points for downloading and signing up via the app.
- **FR10:** Store associates can manually adjust points in case of system errors, with audit logging.
- **FR11:** Customers are notified if a purchase does not earn points due to system error, with instructions for resolution.

Nice to Have:

- **FR12:** Customers can access early sales or exclusive offers based on loyalty tier.
- **FR13:** Gamification elements such as badges for milestones (e.g., 1000 points earned).

Non-Functional Requirements

Performance:

Points accrual and redemption transactions must complete within 2 seconds 95% of the time.

Security:

All customer data must be encrypted in transit and at rest; access to loyalty data is role-based and logged.

Scalability:

System must support 10x current daily transaction volume to accommodate marketing campaigns and growth.

Accessibility:

Loyalty program features must meet WCAG 2.1 AA standards across web and mobile platforms.

Reliability:

99.9% uptime for loyalty services; automatic failover and data recovery within 1 hour in case of outage.

Scope & Constraints

In Scope:

- Loyalty program design and implementation
- Integration with existing online and in-store POS systems
- Mobile app and website updates for loyalty features
- Staff training and support documentation

Out of Scope:

- Physical loyalty cards
- Third-party partner rewards
- Internationalization/localization beyond English

Constraints:

- Legacy POS system integration complexity
- Customer data privacy and compliance requirements
- Limited engineering resources for initial rollout

Success Metrics & KPIs

Repeat customer rate

- Baseline: 38%
- Target: 45% within 12 months
- Measurement: Monthly cohort analysis
- Timeline: 12 months post-launch

Loyalty program sign-ups

- Baseline: 0
- Target: 100,000 sign-ups in first 6 months
- Measurement: Unique loyalty accounts created
- Timeline: 6 months post-launch

App downloads attributable to loyalty program

- Baseline: 5,000/month
- Target: 15,000/month within 3 months
- Measurement: App analytics with loyalty sign-up attribution
- Timeline: 3 months post-launch

Cross-channel point redemption rate

- Baseline: N/A
- Target: 30% of redemptions occur in a different channel than points were earned
- Measurement: Transaction analysis
- Timeline: 6 months post-launch

Customer satisfaction with loyalty program

- Baseline: N/A
- Target: CSAT score of 4.5/5
- Measurement: Post-transaction surveys
- Timeline: 6 months post-launch

Dependencies & Risks

Dependencies:

- Integration with legacy POS and e-commerce systems
- Mobile app development resources
- Customer data platform for unified profiles
- Staff training and change management

Risks:

- Integration delays due to legacy system limitations

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- Likelihood: High | Impact: High
- Mitigation: Early technical assessment, phased rollout, dedicated integration team
- **Customer confusion during transition to new program**
- Likelihood: Medium | Impact: Medium
- Mitigation: Clear communication, in-app and in-store education, support resources
- **Data privacy or security breach**
- Likelihood: Low | Impact: High
- Mitigation: Strict security protocols, regular audits, compliance with regulations
- **Low staff adoption of new tools**
- Likelihood: Medium | Impact: Medium
- Mitigation: Comprehensive training, incentives for staff engagement
- **System downtime during peak periods**
- Likelihood: Low | Impact: High
- Mitigation: Load testing, scalable cloud infrastructure, 24/7 monitoring

Acceptance Criteria

AC1: Earning points for purchases

- GIVEN a customer makes a purchase online or in-store
- WHEN the transaction is completed
- THEN:
 - the correct number of points is added to the customer's loyalty account within 2 seconds
 - the customer receives a notification of points earned

AC2: Redeeming points at checkout

- GIVEN a customer has sufficient points and is at checkout
- WHEN they choose to redeem points
- THEN:
 - the discount is applied to the transaction
 - the points balance is updated in real time
 - the customer receives confirmation of redemption

AC3: Store staff viewing loyalty status

- GIVEN a customer provides their loyalty identifier at POS
- WHEN the staff accesses the loyalty module
- THEN:

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- the customer's loyalty tier and points balance are displayed within 2 seconds

AC4: Preventing over-redemption

- GIVEN a customer attempts to redeem more points than available
- WHEN they confirm redemption
- THEN:

- the system blocks the transaction

- an error message explains the issue

AC5: Account linking

- GIVEN a customer has separate online and in-store accounts
- WHEN they initiate account linking
- THEN:

- accounts are merged within 1 minute

- points balances are consolidated accurately

AC6: App sign-up bonus

- GIVEN a new user signs up for the loyalty program via the app
- WHEN registration is completed
- THEN:

- bonus points are added to their account

- the user is notified of the bonus

AC7: System error during points accrual

- GIVEN a purchase fails to accrue points due to a system error
- WHEN the transaction is processed
- THEN:

- the customer is notified of the issue

- instructions for resolution are provided

AC8: Manual points adjustment

- GIVEN a store associate needs to adjust a customer's points
- WHEN they access the adjustment tool
- THEN:

- the adjustment is logged with user, date, and reason

- the customer sees the updated balance within 2 seconds

AC9: Real-time points balance update

- GIVEN a customer completes a transaction
- WHEN the transaction is finalized
- THEN:

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- the points balance is updated and visible in the app and online account within 2 seconds

AC10: Early access to sales for loyalty tiers

- GIVEN a customer qualifies for early access based on loyalty tier
- WHEN a sale is launched
- THEN:

- the customer receives notification and can access the sale before the general public

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